

Description	Up Breakout	Down Breakout
Percentage reaching full height target	65%	41%
Percentage reaching 2× height	46%	18%
Percentage reaching 3× height	35%	7%

For the downward target, subtract the height from the lowest low (that is, 12 – 2.13 or 9.87). You can see in [Figure 8.5](#) that the price never quite reaches the downward price target.

Go long at the low. Once you have uncovered a broadening bottom with the identification guidelines met, you can think about trading it (as price crosses from side to side).

When the price bounces off the lower trendline, buy the stock. Sell when price turns down. The downturn may occur as a partial rise partway across the chart pattern, or price may cross completely to the other side, touch the top trendline, and head down. Remember, the formation may stage an upward breakout, so don't sell too soon and cut your profit short.

Long stop. In a rising price trend, place a stop-loss order 15 cents below a prior minor low. Should the stock reverse and head down, you will be taken out with a small loss. As the stock rises to the opposite side of the chart pattern, move your stop upward to 15 cents below the prior minor low. The minor low may act as support, so you will be giving the stock every opportunity to bounce off support before being cashed out.

Go short at the high. The trading tactic for downward breakouts is the same. When price touches the top trendline and begins moving down, short the stock. Only advanced traders should attempt to short a stock.

Short stop. Place a stop-loss order 15 cents above the highest high in the formation, then pray that price declines.

Move stop. If luck is on your side and the stock heads down, move your stop lower. Use the prior minor high—place the stop 15 cents above it.

Partial rises/declines. If the stock makes a partial rise or decline, consider acting on it. The table shows how often they work (partial declines work best). Take advantage of them when they appear, but make sure you place a stop-loss order in case the trade goes bad.